To be fair to the DLF promoters, they closed the deal ahead of the election results as there was a risk of the market mood souring in the event of a hung parliament. As share prices surged crazily in response to the unexpected UPA sweep, DLF’s shares price rocketed to Rs 323 on May 18, the first trading session after the election results. By October, the stock had climbed to Rs 475.

By July, many companies decided that market conditions were ripe for another round of fund-raising through qualified institutional placements (QIPs), or sale of shares to institutional investors. For many companies there was little choice – they needed to raise money not to grow their business, but merely to stay in business. There was a floor price for this placement – the two-week average closing price of the stock – below which companies could not sell their shares. They were free to price their placements above the two-week average if they found takers for it. Many companies tried their usual tricks, like getting market operators to bump up the stock price just before bids were sought from interested buyers.

But fund managers refused to fall for the trap; they could now afford to be choosy as they were flooded with offers from companies starved for capital. The two-week average price formula meant nothing to them if they had reason to believe that the stock had been rigged or that the formula was yielding a high price only because the market as a whole had moved up and not because of the value of the stock. They drove a hard bargain, and in many cases promoters had to wait for their stock prices to cool off a bit before fund managers agreed to subscribe to their issues.

Knowing that promoters would eventually have to offer their shares at a discount to the market price, many fund managers dumped the shares they were already holding in the company, buying the same stock at a cheaper price through the QIP route. The tables had turned, and this time it was the fund managers profiting at the expense of the promoters.